



Misaligned Incentives

The Economic Case Against Hourly Billing in Divorce Law

A PRINCIPAL-AGENT ANALYSIS OF ATTORNEY FEE STRUCTURES
AND THEIR IMPACT ON CLIENT OUTCOMES

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Executive Summary

When a divorce client hires an attorney who bills by the hour, they enter a relationship defined by a structural conflict of interest that economists have studied for half a century. The attorney profits from prolonging the very conflict the client hired them to resolve. This is not a matter of individual ethics or professional character. It is a mathematical certainty embedded in the fee structure itself.

This paper applies the tools of microeconomic theory, game theory, and behavioral economics to explain *why* hourly billing produces systematically worse outcomes for divorce clients, *how* the incentive misalignment operates at each stage of litigation, and *what* the empirical evidence shows about the magnitude of the resulting harm. We draw on foundational work in principal-agent theory (Ross, 1973; Holmström, 1979), formal models of attorney fee structures (Polinsky & Rubinfeld, 2003; Shepherd & Cloud, 1999), the credence goods literature (Dulleck & Kerschbamer, 2006), and behavioral economics research on cognitive impairment under financial stress (Mani et al., 2013).

The conclusion is unambiguous: alternative fee structures—particularly flat fees and properly designed hybrid arrangements—produce superior incentive alignment, faster case resolution, and measurably higher client satisfaction. The data shows flat-fee cases close nearly three times faster, and seventy-one percent of legal consumers prefer flat fees to hourly billing.

I. The Problem: A Textbook Principal-Agent Conflict

The principal-agent problem—first formalized by Stephen Ross in 1973¹—arises whenever one party (the principal) delegates decision-making to another (the agent) whose interests do not perfectly align with the principal's. Jensen and Meckling (1976) identified three categories of costs that result: monitoring costs borne by the principal, bonding costs borne by the agent, and a residual loss that neither party can eliminate.²

The attorney-client relationship exhibits all three with unusual intensity. The client (principal) cannot directly observe the quality or necessity of the attorney's work. The attorney (agent) possesses specialized knowledge that the client cannot independently verify. And the emotional circumstances of divorce—fear, anger, grief, financial anxiety—compromise the client's capacity to monitor the agent's performance even under the best conditions.

Two foundational papers from 1979 established the theoretical framework that governs this analysis. Shavell demonstrated the fundamental tension: optimal risk-sharing requires insulating the agent from outcome risk, but eliminating outcome risk also eliminates effort incentives.³ Holmström proved what he called the *Informativeness Principle*—that any performance measure correlated with the agent's effort should be incorporated into the compensation contract.⁴ Hourly billing violates this principle by compensating attorneys based on *input quantity* (hours billed) rather than any measure correlated with *output quality* (case outcomes, client welfare, or resolution efficiency).

II. The Mathematics of Misalignment

The most directly applicable formal model comes from Polinsky and Rubinfeld (2003), whose analysis in the *American Law and Economics Review* cleanly illustrates the distortions that arise under each fee structure.⁵

Under hourly billing, the attorney maximizes their own utility function:

$$U_{\text{attorney}} = w \cdot h - c(h)$$

where w is the hourly rate, h is hours worked, and $c(h)$ is the personal cost of effort. The first-order condition is:

$$\frac{\partial U}{\partial h} = w - c'(h) > 0 \quad \text{whenever} \quad w > c'(h)$$

¹Ross, S. (1973). "The Economic Theory of Agency: The Principal's Problem." *American Economic Review* 63(2), 134–139.

²Jensen, M. & Meckling, W. (1976). "Theory of the Firm." *Journal of Financial Economics* 3(4), 305–360.

³Shavell, S. (1979). "Risk Sharing and Incentives in the Principal and Agent Relationship." *Bell Journal of Economics* 10(1), 55–73.

⁴Holmström, B. (1979). "Moral Hazard and Observability." *Bell Journal of Economics* 10(1), 74–91.

⁵Polinsky, A.M. & Rubinfeld, D.L. (2003). "Aligning the Interests of Lawyers and Clients." *American Law and Economics Review* 5(1), 165–188.

Since the hourly rate almost always exceeds the attorney's marginal discomfort of working an additional hour, the attorney's privately optimal strategy is to work *more hours than the client would choose* if the client could observe the marginal value of each hour. This is the core moral hazard of hourly billing: the attorney profits from prolonging the engagement.

Under a flat fee, the attorney receives a fixed payment F regardless of hours invested:

$$U_{\text{attorney}} = F - c(h)$$

Since the derivative with respect to hours is strictly negative:

$$\frac{\partial U}{\partial h} = -c'(h) < 0$$

the attorney minimizes effort. The moral hazard flips from overwork to underwork. However, this theoretical prediction is bounded by reputational capital, malpractice liability, and ethical obligations that impose a quality floor.

Under a contingency fee, the attorney maximizes:

$$U_{\text{attorney}} = p(h) \cdot \theta \cdot a - w \cdot h$$

where $p(h)$ is the probability of a favorable outcome, θ is the contingency fraction, and a is the total award. The first-order condition is:

$$p'(h) \cdot \theta \cdot a = w$$

Because $\theta < 1$, the attorney invests fewer hours than the client's optimum—bearing 100% of effort costs but receiving only a fraction of benefits. The moral hazard is moderate and runs toward early, efficient settlement.

The “no-conflict” system described by Polinsky and Rubinfeld achieves theoretical perfection. When the attorney bears the same fraction γ of costs as the fraction γ of the award received:

$$U_{\text{attorney}} = \gamma[p(h) \cdot a - w \cdot h]$$

The first-order condition becomes:

$$p'(h) \cdot a = w \implies \textit{identical to client optimum}$$

This condition is identical to the one a fully informed client would impose. **Perfect incentive alignment is achieved when cost-sharing equals reward-sharing.**

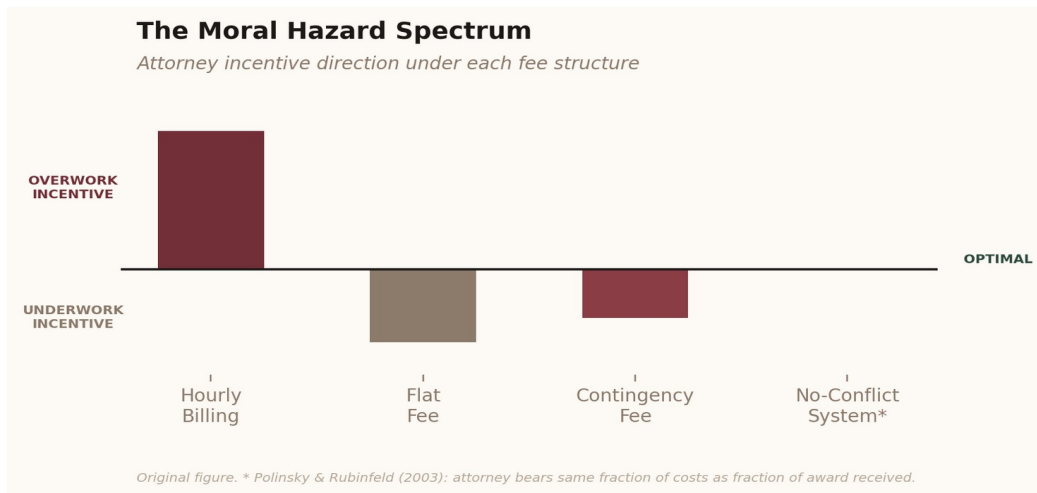


Figure 1. *The Moral Hazard Spectrum: Attorney Incentive Direction by Fee Structure*

Original figure. Model: Polinsky & Rubinfeld (2003)

III. Game Theory: Why Hourly Billing Sustains Inefficient Equilibria

The principal-agent models above describe bilateral relationships. Game theory extends the analysis to strategic interactions between attorneys on opposing sides of a divorce—and reveals why hourly billing produces a mutually reinforcing escalation dynamic.

Geoffrey Miller's 1987 analysis proved that under hourly fees, attorneys have rational incentives to reject reasonable settlement offers to generate additional billable hours.⁶ This is a Nash equilibrium strategy: neither attorney can unilaterally shift toward settlement-seeking behavior without jeopardizing their own income stream, even if both clients would be better off with an earlier resolution.

Garoupa and Gomez-Pomar (2008) identified an additional layer of distortion specific to law firm organizational structure.⁷ Their dual-agency model shows that the individual attorney simultaneously serves two principals—the client and the law firm partnership—and hourly billing resolves the *intra-firm* agency problem even as it exacerbates the *attorney-client* one. Associates are evaluated on hours billed, not on case outcomes. Billing targets of 1,800 to 2,100 hours are standard at AmLaw 100 firms, creating a second moral hazard: associates must generate hours to advance their careers, independent of whether those hours serve their clients.

Emons and Fluet (2016) demonstrated a pattern with striking implications for family law.⁸ In their equilibrium model, plaintiffs' attorneys adopt contingent fees while defense attorneys adopt hourly fees. In divorce, where both parties simultaneously attack and defend across custody, property, and support dimensions, hourly billing incentivizes attorneys on *both* sides to recommend more litigation—a mutually reinforcing escalation equilibrium that benefits the attorneys at the expense of both clients.

Santore and Viard (2001) showed that ethical restrictions on attorney fee structures—including the ABA's prohibition on contingency fees in domestic relations—actually create economic rents for attorneys by preventing the market from reaching efficient contracting outcomes.⁹

⁶Shepherd, G.B. & Cloud, M. (1999). "Time and Money: Discovery Leads to Hourly Billing." *University of Illinois Law Review* 1999(1), 91–167.

⁷Miller, G. (1987). "Some Agency Problems in Settlement." *Journal of Legal Studies* 16(1), 189–215.

⁸Garoupa, N. & Gomez-Pomar, F. (2008). "Cashing by the Hour." *Journal of Law, Economics, and Organization* 24(2), 458–475.

⁹Emons, W. & Fluet, C. (2016). "Why Plaintiffs' Attorneys Use Contingent and Defense Attorneys Fixed Fee Contracts." *International Review of Law and Economics* 47, 23–31.

IV. The Empirical Record: What Divorce Actually Costs

The theoretical models predict systematic overwork and overcharging under hourly billing. The empirical data confirms this prediction with striking consistency.

The Martindale-Nolo survey found the average divorce costs \$9,970–\$11,300 with full-scope hourly representation.¹⁰ Contested divorces with alimony disputes average \$15,900, and cases proceeding to trial on multiple issues average \$23,300. At each escalation stage, the hourly attorney captures more revenue—the very dynamic the moral hazard models predict.

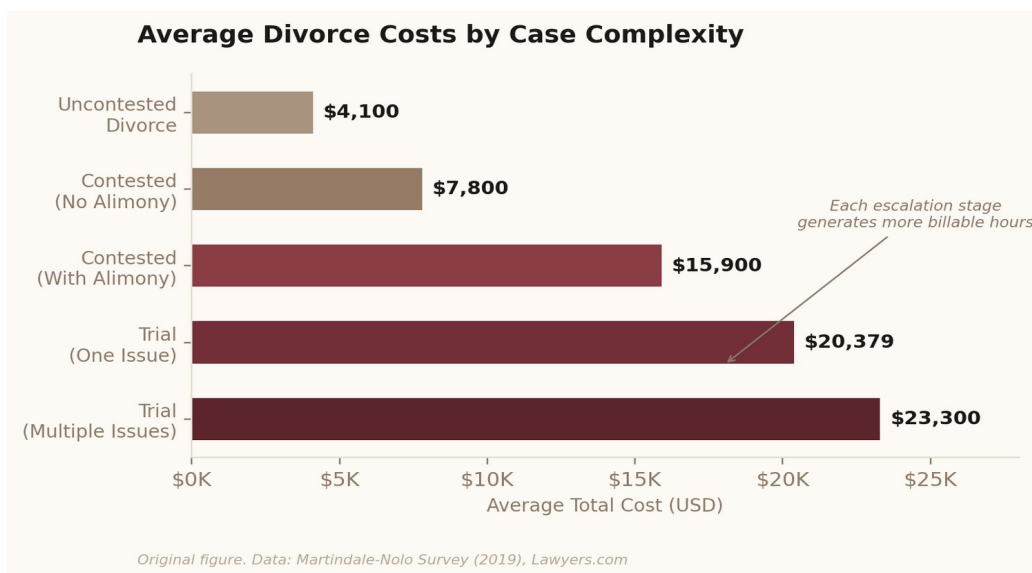


Figure 2. Average Divorce Costs by Case Complexity

Original figure. Data: Martindale-Nolo Survey (2019), Lawyers.com

Average hourly rates for family law attorneys have climbed from approximately \$270 in 2019 to \$312 in 2023 to roughly \$349 in 2025.¹¹ The Thomson Reuters Law Firm Financial Index recorded rate increases of 7.2–7.4% year-over-year—the most aggressive since the index began tracking in 2007, substantially above general inflation.¹²

¹⁰Santore, R. & Viard, A. (2001). “Legal Fee Restrictions, Moral Hazard, and Attorney Rents.” *Journal of Law and Economics* 44(2), 549–572.

¹¹Martindale-Nolo (2019). *Lawyers.com Survey of Divorce Costs*.

¹²Clio (2024–2025). *Legal Trends Report*. clio.com/resources/legal-trends.

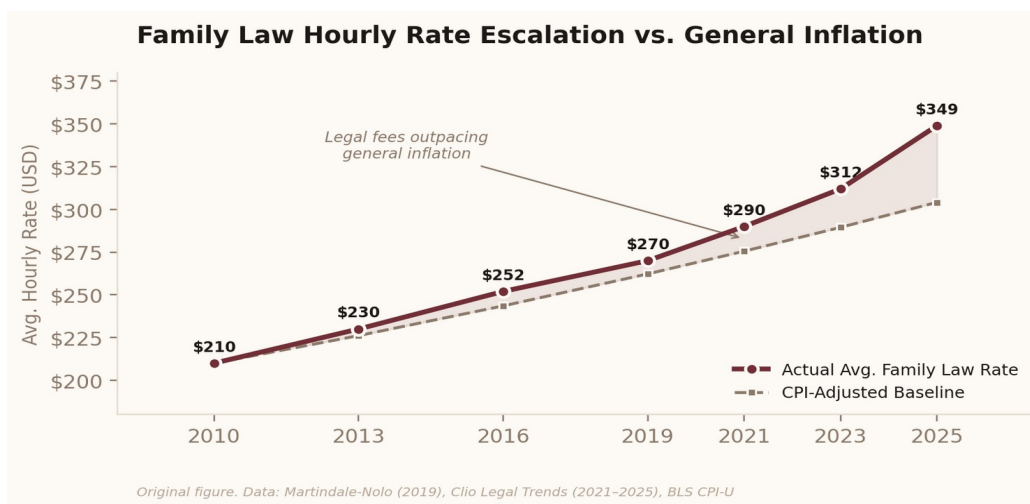


Figure 3. Family Law Hourly Rate Escalation vs. General Inflation (2010–2025)

Original figure. Data: Martindale–Nolo (2019), Clio Legal Trends (2021–2025), BLS CPI-U

Fortney’s 2005 study found that efficient associates are penalized while those who inflate time entries receive raises and bonuses.¹³ The ABA Commission on Billable Hours concluded that many of the legal profession’s most pressing problems converge at the billable hour.¹⁴ Clio’s multi-year analysis shows the average lawyer bills only 2.6 to 3.0 hours of an eight-hour workday—roughly 65% of the attorney’s time consumed by overhead ultimately passed to clients through inflated rates.

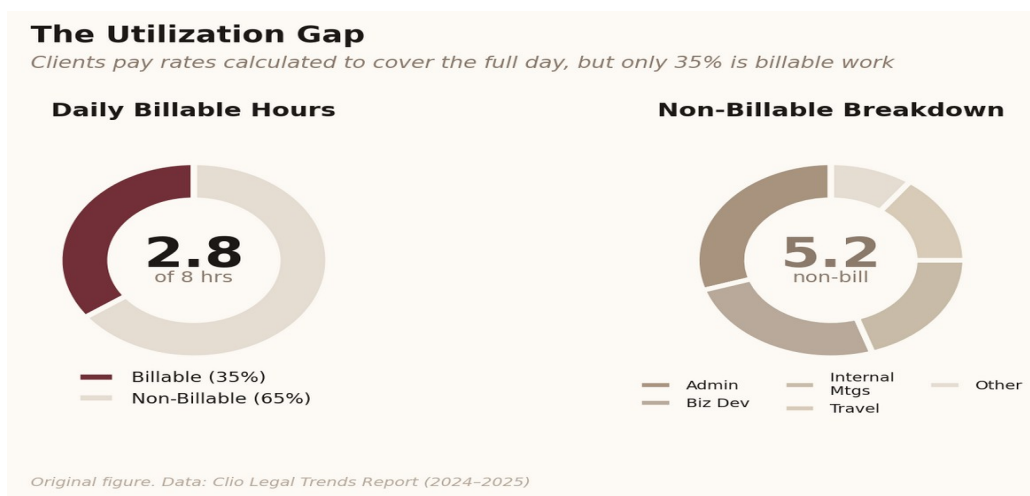


Figure 4. The Utilization Gap: Billable vs. Non-Billable Time

Original figure. Data: Clio Legal Trends Report (2024–2025)

¹³ Thomson Reuters (2025). Law Firm Financial Index: Q1 2025.

¹⁴ Fortney, S.S. (2005). “The Billable Hours Derby.” Fordham Urban Law Journal 33(1), 171–192.

V. Legal Services as Credence Goods

Darby and Karni (1973) introduced the concept of *credence goods*—goods whose quality the consumer cannot fully evaluate even after consumption.¹⁵ Legal services fit this definition precisely: a divorce client can observe that their divorce was finalized, but cannot independently assess whether every motion, discovery request, and court appearance was necessary.

Dulleck and Kerschbamer (2006) formalized three forms of credence goods exploitation: **overtreatment**, **undertreatment**, and **overcharging**.¹⁶ Under hourly billing for divorce, the dominant risk is overtreatment. Their experimental work with Sutter found that **liability is the single most effective institutional check** on credence goods exploitation¹⁷—but in family law, there is virtually no liability for overtreatment. No attorney faces malpractice claims for doing *too much* work.

Dana and Spier (1993) modeled the attorney as an expert who learns case merits after engagement.¹⁸ Under contingency fees, the attorney's private information aligns with the client's interest. Under hourly fees, the attorney has no incentive to reveal that further litigation has negative expected value. Emons (2000) confirmed this result.¹⁹

VI. The Behavioral Economics of Divorce

The theoretical harm from misaligned incentives would be mitigated if clients could effectively monitor their attorneys. Behavioral economics explains why they cannot.

Loss aversion is the dominant mechanism. Kahneman and Tversky's 1979 prospect theory demonstrated that losses are experienced approximately twice as intensely as equivalent gains.²⁰ Guthrie (2003) applied this to litigation: parties defending assets perceive themselves in the "loss domain," triggering risk-seeking behavior—a willingness to spend \$50,000 to avoid a perceived \$30,000 loss in settlement.²¹ Zamir (2012) documented this in property division and custody disputes.²²

The **sunk cost fallacy** creates escalating commitment.²³ Divorce clients who have spent \$20,000 or more feel psychologically unable to stop—the past investment seems to justify continued spending.

¹⁵ ABA Commission on Billable Hours (2002). Report of the Commission on Billable Hours.

¹⁶ Darby, M. & Karni, E. (1973). "Free Competition and the Optimal Amount of Fraud." *Journal of Law and Economics* 16(1), 67–88.

¹⁷ Dulleck, U. & Kerschbamer, R. (2006). "On Doctors, Mechanics, and Computer Specialists." *Journal of Economic Literature* 44(1), 5–42.

¹⁸ Dulleck, U., Kerschbamer, R. & Sutter, M. (2011). "The Economics of Credence Goods." *American Economic Review* 101(2), 526–555.

¹⁹ Emons, W. (2000). "Expertise, Contingent Fees, and Insufficient Attorney Effort." *International Review of Law and Economics* 20(1), 21–33.

²⁰ Kahneman, D. & Tversky, A. (1979). "Prospect Theory." *Econometrica* 47(2), 263–292.

²¹ Guthrie, C. (2003). "Prospect Theory, Risk Preference, and the Law." *Northwestern University Law Review* 97(3), 1115–1163.

²² Arkes, H. & Blumer, C. (1985). "The Psychology of Sunk Cost." *Organizational Behavior and Human Decision Processes* 35(1), 124–140.

²³ Mani, A. et al. (2013). "Poverty Impedes Cognitive Function." *Science* 341(6149), 976–980.

Financial stress further impairs the cognitive functions needed to evaluate legal advice. Mani, Mullainathan, Shafir, and Zhao demonstrated that financial stress reduces cognitive performance by 13 to 14 IQ points.²⁴ Porcelli and Delgado (2009) found that acute stress amplifies risk-seeking behavior in loss domains.²⁵

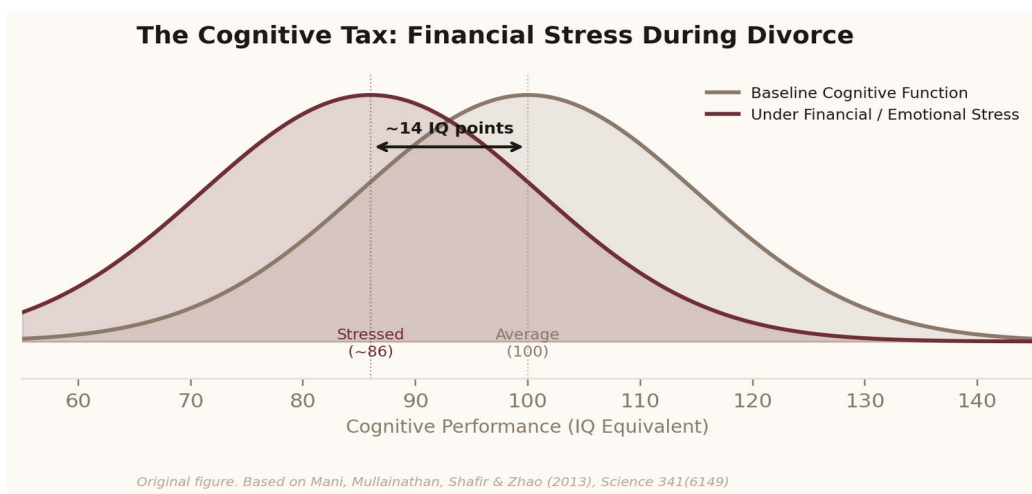


Figure 5. *The Cognitive Tax: Financial Stress Impairs Decision-Making During Divorce*

Original figure. Based on Mani, Mullainathan, Shafir & Zhao (2013), Science 341(6149)

The combined effect is a devastating cascade. Credence goods structure prevents quality evaluation. Emotional distress impairs judgment. Loss aversion drives excessive spending. Sunk costs create escalating commitment. And through every increment, the hourly billing attorney profits from the client's constrained rationality.

²⁴ Porcelli, A. & Delgado, M. (2009). "Acute Stress Modulates Risk Taking." *Psychological Science* 20(3), 278–283.

²⁵ ABA Model Rule 1.5(d)(1). Rules of Professional Conduct.

VII. The Regulatory Landscape

ABA Model Rule 1.5(d)(1) prohibits contingency fees in domestic relations matters.²⁶ Most states have adopted this prohibition. Potter (2021) argued in the *Yale Law Journal Forum* that the prohibition is a vestige of the coverture regime.²⁷ Emendorfer (2024) documented its disparate impact on domestic violence survivors.²⁸

Notable exceptions exist. The District of Columbia explicitly permits contingency fees in domestic relations.²⁹ **Flat fees face no such restrictions.** They are permitted in every United States jurisdiction, subject only to the general reasonableness requirement of Rule 1.5(a).

VIII. The Alternative: Measurable Gains from Incentive Alignment

Helland and Tabarrok found that time to settlement is approximately 22% shorter under non-hourly fee arrangements, case attrition rates are lower, and legal quality improves.³⁰ Clio's analysis shows flat-fee cases close nearly three times faster. Client satisfaction increases by as much as 30% with alternative fee arrangements.



Figure 6. Measurable Efficiency Gains Under Flat Fee Structures

Original figure. Data: Clio Legal Trends Report (2024), ABA Client Satisfaction Research

The Clio 2024 Legal Trends Report found that 71% of legal consumers prefer flat fees. The gap between what clients want and what the industry offers represents a significant market failure.

²⁶ Potter, N. (2021). "Ridding the Family-Law Canon of the Relics of Coverture." *Yale Law Journal Forum* 296.

²⁷ Emendorfer, M. (2024). "Contingency Fee Bans for Divorce Proceedings." *Minnesota Journal of Law & Inequality Blog*.

²⁸ DC Bar Rule 1.5. Rules of Professional Conduct: Fees.

²⁹ Helland, E. & Tabarrok, A. (2003). "Contingency Fees, Settlement Delay, and Low-Quality Litigation." *Journal of Law, Economics, and Organization* 19(2), 517–542.

³⁰ Zamir, E. (2012). "Loss Aversion and the Law." *Vanderbilt Law Review* 65(3), 829–894.

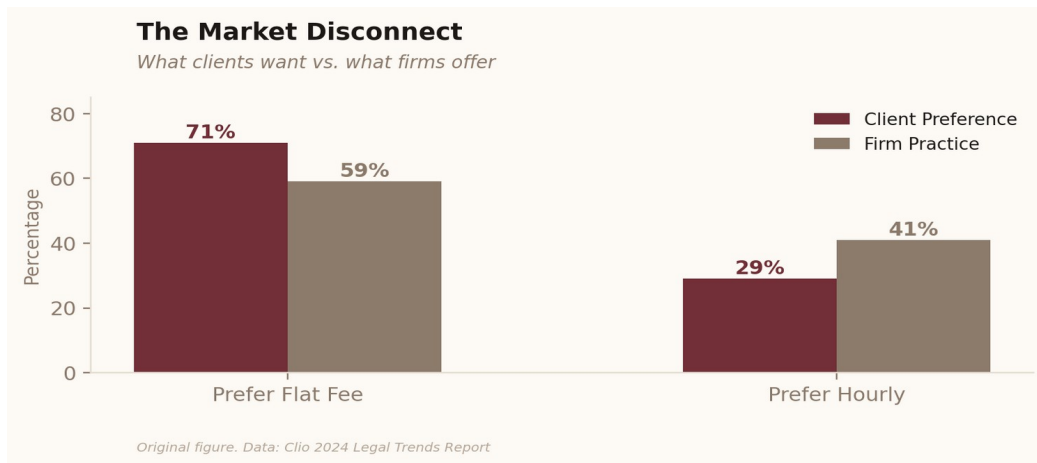


Figure 7. The Market Disconnect: Client Preference vs. Industry Practice

Original figure. Data: Clio 2024 Legal Trends Report

IX. Conclusion

The economic analysis is unambiguous. Hourly billing in divorce law creates a textbook principal-agent problem in which the attorney's financial incentives run directly counter to the client's interests. The mathematical models show that the attorney's privately optimal effort level under hourly billing systematically exceeds the client's optimum. The game-theoretic analysis reveals mutually reinforcing escalation dynamics. The credence goods framework explains why clients cannot detect or prevent overtreatment. And the behavioral economics literature demonstrates that divorce clients are among the least equipped consumers in any market to protect themselves.

Alternative fee structures—flat fees in particular—eliminate the most damaging incentive distortions. They transform the attorney from a rent-seeking agent whose income depends on prolonging conflict into an aligned partner whose efficiency is rewarded. The empirical evidence confirms faster resolution, higher satisfaction, and improved access to representation.

The question is not whether the economics support alternative billing. The literature is settled on that point. The question is why so much of the legal industry continues to operate under a fee structure that its own professional associations have identified as problematic, that its clients overwhelmingly reject, and that half a century of economic research has shown to be structurally misaligned with the interests it purports to serve.

NOTE ON FIGURES

All figures in this white paper were created by the author using original code (Python/matplotlib). No figures were copied from external sources. Data sources for each figure are cited in the figure caption.

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